BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-XXXX, 25-G-XXXX

January 2025

Prepared Testimony of:

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Q. Please state your name and business address.

A. My name is Yukari Saegusa. I am Treasurer of Consolidated Edison Company of New York, Inc. ("Con Edison", "CECONY" or the "Company"). I am also a Vice President and Treasurer of the Company's affiliate, Orange and Rockland Utilities, Inc. ("Orange and Rockland"). My business address is 4 Irving Place, New York, New York.

Q. Briefly describe your educational background.

A. I graduated from the University of Pennsylvania, Wharton School in 1989 and received a B.S. degree in Economics. I received an MBA from the MIT Sloan School of Management in 1995.

Q. Please summarize your professional background.

A. I joined Con Edison in March 2013. Prior to joining Con Edison, from 2004 to 2013, I was employed by Barclays as a Managing Director in Debt Capital Markets covering the United States ("U.S.") utility and energy sectors. I was employed from 1995 to 2004 by Citigroup, also in Debt Capital Markets, covering the U.S. utility sector. In my roles at Barclays and Citigroup, I was broadly responsible for advising utility clients on the design

and execution of debt, capital-raising, and liability management strategies.

Q. Have you previously sponsored testimony before the New York State Public Service Commission ("Commission")?

A. Yes. I submitted testimony on behalf of Con Edison in Cases 19-E-0065, 19-G-0066, 22-E-0064, 22-G-0065 and 22-S-0659 and on behalf of Orange and Rockland in Cases 14-E-0493, 14-G-0494, 18-E-0067, 18-G-0068, 21-G-0073, 21-E-0074, 24-E-0060 and 24-G-0061.

Q. What is the purpose of your direct testimony in these proceedings?

A. My direct testimony discusses (1) investor expectations; (2) financial market environment; (3) investor concerns; (4) the Company's historic and projected capital structure and cost of capital; and (5) the Company's financial challenges and the need to maintain access to financial markets at reasonable cost.

I. BACKGROUND AND INVESTOR EXPECTIONS

Q. Who owns the Company?

A. Con Edison has one shareholder, Consolidated Edison, Inc. ("CEI"). CEI, in turn, is owned by approximately 35,000

registered shareholders. Registered shareholders are the individuals or businesses whose names are listed on the shareholder register of CEI.

Q. What are the characteristics of CEI's registered shareholders?

A. CEI's registered shareholders consist of individuals and institutional investors. Institutional investors often own shares for the benefit of others. These investors purchase CEI shares for the benefit of their investors who, in turn, may be pension funds or other individual investors. Because pension funds exist for the benefit of the individual participants in their plans, it makes sense to think of the ultimate beneficiaries of share ownership in CEI, and derivatively in the Company, of being millions of individuals who may own shares directly, invest in U.S. stock mutual funds, or receive or expect benefits from pension plans or life insurance policies.

Q. What do the people who own CEI shares, either directly or indirectly, provide to the Company?

A. They provide the capital that the Company needs above and beyond what debt investors provide. Their capital allows the Company to provide safe, reliable energy utility

service to the Company's customers. Without these shareholders, the Company's customers would have to pay currently for all of the costs of the services they receive. For example, without these shareholders, customers would have to pay for a new substation as it is constructed rather than over the subsequent decades during which they benefit from its operation.

Q. What do these equity investors expect in return?

A. They expect compensation either in the form of a periodic dividend payment or an increase in the value of the business, or both.

Q. How do equity investors in regulated utilities set their expectations for compensation?

A. The return expectations of equity investors in rate-regulated energy utilities are grounded in the "regulatory compact." The regulatory compact's essence is that in exchange for a monopoly in a defined geographic area, a utility's equity investors accept a fair and equitable return, as set by a regulatory agency, on the capital they have invested in the utility.

Q. What standards exist to help equity investors and regulators determine whether a rate-regulated utility offers a fair and equitable return?

A. The general standards for a fair and equitable return for investors in utility shares are well-established in the U.S. The underlying requirement for fair treatment for equity investors has been recognized for years. As discussed in the direct testimony of the Company's Return on Equity ("ROE") witness, Joshua Nowak, it dates back to the U. S. Supreme Court's decisions in the *Hope* and *Bluefield* cases. In those cases, the U.S. Supreme Court established that in determining the fairness or reasonableness of a utility's allowed ROE, one needed to look at the consistency of a utility's allowed ROE with the returns on equity investments in other businesses having similar or comparable risks.

Q. How much and what type of debt does the Company have outstanding?

A. As of September 30, 2024, Con Edison had $22,446 million of long-term debt.

Q. Who owns Con Edison's debt?

A. Investment managers, insurance companies, pension plans, hedge funds, banks, trust companies, and individuals.

Q. How do bond investors evaluate Con Edison?

A. For most bond investors, the credit ratings assigned by the nationally recognized statistical rating organizations (*i.e.*, Moody's, S&P, and Fitch) are the threshold basis for evaluating individual corporate credits such as those offered by the Company.

Q. What are the current ratings on Company debt?

A. The Company's long-term, senior unsecured debt is currently rated A3, A-, and A- by Moody's, S&P, and Fitch, respectively. The Company's short-term debt is rated P-2, A-2, and F2, respectively.

Q. Are bond ratings the correct indicator of the risks to shareholders?

A. No. The priority of bondholders' claim on the Company means that shareholders are subject to a higher level of risk. Shareholders, unlike bondholders, only have a residual claim to the resources and income of the Company and thus face risks even in well-rated companies. If returns are inadequate, the bondholder may suffer a loss on paper from a credit downgrade. The stockholder will

suffer the loss directly through a drop in the share price and/or through a lower dividend.

II. RELEVANT FINANCIAL MARKET ENVIRONMENT

Q. Please describe the state of the financial markets.

A. In March 2020, in response to the economic turmoil caused by the outbreak of COVID-19, the Federal Reserve cut the Fed Funds Rate by an unprecedented 150 basis points ("bp") to a record low target rate of 0.00%-0.25%. That level was maintained until March 2022 when the Federal Reserve made its first increase in two years. From March 2022 through August 2023, the Federal Reserve increased the Federal Funds target eleven times for a total increase of 500 bp. That rate level was held steady until September 2024 when the Federal Reserve lowered the rate by 50 bp. The target level has moved from 0.25%-0.50% in March 2022 to 4.25%-4.50% in December 2024.

Q. Do the forecasted changes in the Federal Funds rate correlate to equivalent changes in short-term borrowing rates?

A. Yes. Changes in commercial paper rates track very closely with changes in the Federal Funds rate.

Q. Do changes in the Federal Funds rate also track with changes in longer-term borrowing rates?

A. Changes in the Federal Funds rate can have a significant impact on longer-term rates, especially if they are part of an extended period of either rising or falling changes. As shown in Exhibit__(YS-1), the yield on the Moody's Baa1 Corporate Bond rates, after a period of relative flat movement through most of 2020 and 2021, began in March 2022 a period of steady increases that correlated closely with the steady increases seen in the Federal Funds rate.

Q. Are there other factors that impact longer-term borrowing rates?

A. Yes. Another important factor impacting longer-term borrowing rates is inflation. For context, the Federal Reserve targets an average inflation rate of approximately 2.0%.

Q. Has inflation exceeded the 2% target?

A. Yes. Although the rate of inflation has seen decreases in recent months, inflation, as measured by changes in Personal Consumption Expenditures ("PCE"), has exceeded 2.0% every month since March 2021.

Q. Is PCE the only measure of inflation?

A. No. There are other measures of inflation. One of the most common is the Consumer Price Index ("CPI"), which

measures the average monthly change in the price for goods and services paid by urban consumers.

Q. Has the CPI also shown higher than normal levels of inflation in recent months?

A. Yes, CPI was 2.7% in November 2024.

Q. What is the correlation between inflation and longer-term borrowing rates?

A. A large component of long-term borrowing rates is Treasury rates. Treasury rates are sensitive to both actual and forecasted inflation rates. Higher inflation rates drive higher Treasury rates and correspondingly drive higher longer-term borrowing rates.

Q. Why did the Federal Reserve raise the Federal Funds target eleven times from March 2022 through August 2023?

A. The Federal Reserve raised its key Federal Funds rate eleven times since March 2022 in an attempt to curb rampant inflation. The rate hikes were part of a policy shift aimed at moving inflation back toward the target of 2.0%.

Q. Has the Federal Reserve been successful at moving the inflation rate toward its 2.0% target?

A. Yes. After peaking at a rate of 9.1% in June 2022, the CPI has decreased to 2.7% in November 2024, but it is still in excess of the target rate of 2.0%.

Q. Is there any indication how long it will take for inflation to decline to the Federal Reserve's target of 2.0%?

A. The Federal Reserve, in its December 2024 Summary of Economic Projections, forecasts that inflation will remain above its 2.0% target through 2026 (forecasted core PCE inflation of 2.5% in 2025, 2.2% in 2026 and 2.0% in 2027). Additionally, the Federal Reserve's December 2024 projections show an upward revision in the policymakers' inflation forecasts from their September 2024 forecasts.

Q. What other factors could influence inflation rates in the near future?

A. As noted in a recent publication by Fitch Ratings titled "US Inflation Risks Rise on Consumer Strength, Impending Tariff Hikes" (*see* Exhibit__(YS-2)), several potential near-term factors could place significant upward pressure on inflation: (1) The incoming U.S. President has stated his intention to impose immediately trade tariffs of up to 25% on the majority of foreign imports, including

those from China, Europe, Mexico and Canada. Imposition of tariffs will lead directly to increased prices to consumers for imported goods; (2) The incoming U.S. President has also indicated that he will implement barriers on immigration and simultaneously deport millions of undocumented workers, thereby reducing the available labor force and placing upward pressure on wages; and (3) Consumer spending in the U.S. has continued to exceed expectations, placing further upward pressure on prices.

Q. Did the Federal Reserve acknowledge the uncertainties posed by the incoming administration's economic agenda?

A. Yes. At the December 2024 Federal Open Market Committee meeting, Chair Powell stated that some Federal Reserve members had priced in potential "policy uncertainty" from the incoming administration that could create "inflation uncertainty".

Q. Is inflation the only factor in today's financial markets that could significantly impact the Company's cost of capital?

A. No. Volatility in the financial markets has been and will continue to be one of the Company's most significant challenges as the Company continually needs to access the

capital markets. Global events like the COVID-19 pandemic have the potential to further increase volatility in the capital markets. Current political uncertainty in countries like Germany, France, South Korea and Canada also increase market volatility. Other impactful geopolitical events (*e.g.*, Russia's war with Ukraine, uncertainty of China/Taiwan relations and the conflicts in Gaza, Lebanon and Syria) can also produce shocks that could affect the Company's ability to access capital markets efficiently.

Q. How would the possibility of rising interest rates in a potentially volatile market impact the Company?

A. Taking the aforementioned factors into account, one of the main challenges faced by the Company is its ability to earn a fair rate of return. A confluence of factors, including the regulatory approach in New York State to setting cost rates for debt and equity and a volatile interest rate environment, expose the Company to the risk that it will not be able to earn its cost of capital. This will make the Company less attractive to both equity and debt investors which, in turn, could increase the Company's costs of financing.

Q. Please describe the shortcomings of New York State's approach to setting cost rates for debt in the current financial market environment.

A. The Department of Public Service Staff ("Staff") recommends cost rates for fixed debt based solely on current interest rates, which ignores the risk of rising rates. In addition, rates have exhibited volatility in reaction to recent economic uncertainty. Since the beginning of 2020, the swings between the high and low yields for both 10-year and 30-year Treasury bonds have been 446 bp and 412 bp, respectively. Additionally, the chart included in Exhibit__(YS-3) shows the number of days with intraday U.S. Treasury yield moves of greater than 10 bp. Intraday U.S. Treasury yield volatility in 2022 and 2023 were the third and fourth highest in available data from Bloomberg.

An increase in volatility of interest rates would likely lead investors to require a higher rate of return to compensate them for the additional risks that they will have to bear given this increased volatility.

Q. Has the Company proposed a method to mitigate risks of interest rate volatility?

A. Yes. As described in more detail in Section III of this testimony, the primary method to mitigate the risks of future interest rate volatility is to use a forward-looking method to forecast interest rates rather than using current rates as a proxy. However, because Staff has historically not accepted this forecast methodology, the Accounting Panel testimony describes a proposal to true-up the weighted average cost of long-term debt to the fixed-rate debt cost reflected in Exhibit__(AP-5).

Q. Do any other utilities have a similar fixed-rate debt cost reconciliation?

A. Yes. The Joint Proposal adopted by the Commission in New York State Electric and Gas Corporation ("NYSEG") Cases 22-E-0317 and 22-G-0318 and Rochester Gas and Electric Corporation ("RG&E") Cases 22-E-0319 and 22-G-0320 include a reconciliation for overall fixed-debt cost to rates set in Appendix T of the Joint Proposal.

Q. Is a similar fixed-debt cost reconciliation appropriate for the Company?

A. Yes. Like NYSEG and RG&E, the Company is required to raise significant amounts of capital from investors and faces a similar level of risk.

III. CAPITAL NEEDS AND INVESTOR CONCERNS

Q. Please describe the financial challenges facing the Company during the Rate Year (*i.e.*, January 1, 2026 through December 31, 2026) and beyond.

A. The Company faces the following interrelated financial challenges: (1) the costs of implementing clean energy projects pursuant to government and regulatory authority policies to address climate change and improve resilience in extreme weather; (2) the capital-intensive nature of the utility business; (3)longer asset lives; (4) the restrictions that regulations place on its ability to respond to unfavorable developments in its environment; (5) dependence on the market to fund its capital needs; and (6) an environment of increased business risk. Each of these challenges is discussed further below.

Q. Please discuss the costs of implementing clean energy projects pursuant to government and regulatory policies to address climate change and enhance resilience to extreme weather.

A. From 2026-2028, the Company is proposing electric and gas capital expenditures of approximately $21.6 billion, driven in large part by its commitment to supporting New York State’s and New York City’s climate goals by

building a safe and resilient electric grid that is capable of delivering 100% clean energy by 2040. As background, in July 2019, New York State adopted the Climate Leadership and Community Protection Act ("CLCPA"), which establishes a framework for the State to reach a net-zero emissions level for greenhouse gases ("GHG") by 2050. Among the major requirements of the CLCPA are (1) emissions reductions of 40% by 2030 and 85% by 2050, (2) a mandate that 70% of electricity must come from renewable resources by 2030 and 100% by 2040, and (3) a reduction of statewide energy consumption by 185 trillion BTU through energy efficiency improvements. In January 2020, the Commission issued an order in Case 18-M-0084, referred to as the New Efficiency: New York ("NENY") Order, which established programs to support the CLCPA targets. According to the NENY Order, the Company is required, within the bounds set by the NENY Order, to conduct energy efficiency programs and incorporate energy efficiency targets and budgets consistent with the NENY Order. These projects are classified as regulatory assets and their costs are not recorded as capital costs but are recorded as operating expenses in the Company's cash flow statement. The projected spend for the NENY

related projects is $1.1 billion between 2026 and 2028. In addition to the NENY related projects, the Company has projected that it will spend an additional $1.5 billion over the period from 2026 to 2028 on other regulatory assets clean energy investments related to Transportation Electrification, Utility Storage Dispatch Rights, Utility Thermal Energy Networks, and other programs.

Q. Please describe the challenges of financing this CLCPA capital expenditure program.

A. The Company has historically funded its large existing capital expenditures through a combination of funds from operations, external debt and equity financing. In addition to financing the aforementioned capital expenditures to address reliability, resiliency, and safety, the Company will also need to finance construction of projects to support achievement of the CLCPA's targets. These financing needs will substantially increase the Company's reliance on external funding sources. The Company's allowed ROE and equity ratio need to be sufficiently high in order to attract capital from equity investors who could otherwise invest their money in jurisdictions that provide higher returns.

Q. Please discuss the capital-intensive nature of the Company's business.

A. The Company's business requires significant capital investment every year to maintain reliability and safety because its assets are long-lived and the underlying technology, facilities, and customer base are mature. According to a June 2, 2011, IHS Cambridge Energy Research Associates presentation titled "Post Fukushima: If not nuclear, what energy mix?", the electric utility industry is the most capital intensive industry as measured by the ratio of total assets to total revenues. As shown on Exhibit___(YS-4), which was prepared under my supervision and direction, the Company's capital intensity can be demonstrated by the fact that its ratio of net fixed assets per dollar of revenues is 3.5, as compared with 0.9 for the average S&P 500 company and 0.2 for the median company. Capital intensity amplifies risk for investors because capital intensive businesses have to recover much larger fixed costs (interest and depreciation) before achieving a return on their investment.

Q. Please describe how longer asset lives present a financial challenge for the Company.

A. The Company's assets have extraordinarily long lives. Long-lived assets, in the context of rate regulation, present two financial challenges for the Company that are also risks for potential investors in the Company's debt and equity. First, their investment horizons for capital recovery must be much longer. For debt investors, utility debt has much longer average maturities than the debt of other companies. Second, there is a regulatory risk in long-lived assets because U.S. rate regulation limits returns to a fraction of historic tangible book value rather than replacement or current market value. The Company's depreciation recoveries, which reflect historic tangible net book values, are small relative to its current capital costs, returning only 41.3% of its capital expenditures in the form of depreciation for the twelve months ended September 30, 2024, placing Con Edison in the bottom 10% of companies in the S&P 500 that had meaningful depreciation recovery rates as shown on Exhibit__(YS-5), which was prepared under my supervision and direction. By way of comparison, the average S&P 500 company recovered 166.5% of its capital expenditures through depreciation/amortization. Due to the long depreciation lives established in rates, this dynamic is

likely to continue for many years. Con Edison (which had a 41.3% capital expenditure recovery rate) would have ranked below 12 of the 26 utilities in the S&P 500 as shown on Exhibit___(YS-6), which was prepared under my supervision and direction. The average recovery rate for the utility companies in the S&P 500 was 49.0%. The Company's large installed base of mature equipment requires continuous investment in replacement assets. Mature assets raise operating costs and increase operating risks, particularly in an environment that requires extraordinarily high levels of reliability and imposes virtually automatic regulatory penalties for failing to maintain those levels of reliability. The need for continuous investment to maintain and improve the system with limited depreciation cash flow means that the Company must seek rate increases and raise new capital to maintain its financial stability. Replacement capital needs alone substantially exceed the cash generated through depreciation recoveries for the Company.

Q. Is the Company proposing changes in its methods of depreciation cost recovery?

A. Yes. In light of New York State's efforts to achieve cumulative GHG emissions reductions by decreasing the utilization of fossil natural gas, as discussed by the Company's Depreciation Panel, the Company is proposing to accelerate the rate of depreciation for its gas assets by reducing the average service lives of its major assets by five years.

Q. How will the proposed depreciation changes impact the Company's financial profile?

A. The proposed depreciation changes will help support the Company's cash flows from operating activities which will be viewed favorably by both debt and equity investors. This will facilitate the Company's continued access to both debt and equity investors to support its capital needs at a fair price. Accelerating depreciation will also help to mitigate the possibility of future stranded gas assets if the gas business experiences decline due to climate-related legislation.

Q. Please describe how the fact that the Company must continually raise capital increases risk for existing and prospective equity investors.

A. As mentioned earlier, the Company must approach the markets for additional new capital on a frequent basis.

Con Edison is forecasted to raise considerable long-term debt and will require significant equity contributions from 2025-2028.

Each time Con Edison markets its debt securities, investors will assess the risks they would bear if they invest in the Company in light of the challenges identified above. Their assessment of these risks is, and will be, priced into the cost of debt each time the Company seeks new capital in the years ahead. To the extent that risk analysis leads the market to reduce stock prices or raise interest rates, the existing investors are disadvantaged, and other potential investors are made more wary. Through this cycle of investors assessing and pricing risks that the Company faces, customers are negatively impacted through increases in the cost of financing the Company's capital investment needs. To raise this capital at a reasonable cost, the Company must remain an attractive investment to both debt and equity investors.

Q. Why do companies such as Con Edison need to maintain a particularly strong financial condition?

A. Capital intensive companies with a statutory obligation to serve, like Con Edison, have to borrow despite the

state of the market because they need continuous access to capital.

Q. What happens when utilities cannot access capital at reasonable rates?

A. When utilities are forced to pay high interest rates, these rates will remain with the companies and their customers for as long as 30 years. On the near-term of the maturity spectrum, access to commercial paper and bank borrowing markets is critical to allowing the Company to pay for energy that must be delivered, regardless of the price. Only A-1/P-1 borrowers can maintain that access in all market conditions. At the height of the financial crisis of 2008-2009, non-A-1/P-1 borrowers, if they had access to commercial paper market, paid significantly higher rates. The same was true in the early days of the COVID-19 pandemic when A2/P2 commercial paper peaked at 3.61% on March 26, 2020, as compared with an average of 1.76% for the pre-pandemic months of January and February 2020.

During both the financial crisis and the early days of the COVID-19 pandemic, the seizing up of the commercial paper market was relieved only by the Federal government's intervention to provide an effective

backstop for the highest-rated (A-1/P-1) commercial paper issuers, a solution that may not always be available.

If the Company were to lose access to the commercial paper market, borrowing costs would increase because the Company would have to rely more upon long-term debt, which is more expensive. In addition, the Company could be forced to issue debt with less attractive terms because it lacks the flexibility to wait for better market conditions. The recent past has demonstrated the importance of maintaining a strong credit rating and investor confidence in the Company's credit.

Q. Please explain why maintaining or improving its current debt ratings is important for Con Edison.

A. The Company has a significant continuing construction program that must be funded in large part by debt financing. Access to credit markets will be restrictive for lower quality creditors. In addition, a part of the Company's financing program is composed of short-term borrowing through its commercial paper program. Such borrowing is highly sensitive to credit quality and credit market conditions.

Q. Are there any additional factors that debt investors will consider when evaluating whether to invest in the Company?

A. Debt investors will also look at the Company's ability to access the equity capital markets. The Company's capital needs are fulfilled by both debt and equity investors in approximately the proportion allowed in the Company's rate plans. In the Company's capital structure, capital provided by equity investors is subordinate to the capital provided by debt investors. Thus, the ability to access the fixed income markets at a reasonable cost also depends on access to equity capital markets.

Q. How would a potential equity investor evaluate the return limitations on New York State utilities as to their magnitude, timing and probability?

A. There are four significant factors in an equity investor's assessment of New York State utility regulation: (1) authorized rate of ROE, (2) the likelihood of earning that ROE, (3) the symmetry of potential earned equity returns, and (4) the restrictions the regulator places on the scope of the business. To make this assessment, a potential equity investor will

start with the basic parameters of the Commission's rate orders.

Q. How do the Commission's rate orders influence investors' evaluation of the first identified return consideration?

A. The first factor, the authorized rate of ROE, is important for an equity investor because it provides the most visible indication in the rate order of the regulator's willingness to balance the needs of investors and customers.

Q. How have the Commission's authorized returns compared to those in other jurisdictions?

A. As we demonstrate in this case and have demonstrated in previous rate cases, the rates of allowed return granted in New York State are well below those in other states. I have provided a comparison of allowed returns in New York State as compared with other states (based on data from Regulatory Research Associates ("RRA")) to demonstrate the consistency of this practice (*see* Exhibit___(YS-7)), which was prepared under my supervision and direction).

In past cases, Staff has argued that each of the rate cases in the RRA database is unique and, therefore, no meaningful conclusion can be drawn. While I would

agree that each rate case is unique, it is equally true that meaningful conclusions can be drawn about the New York State regulatory environment when New York State utilities' returns are consistently among the lowest in the Country.

Q. Staff has pointed to the various regulatory recovery mechanisms authorized by the Commission as a justification for the low authorized ROEs granted to New York State utilities. Do you agree with Staff's position?

A. No, I do not. The regulatory recovery mechanisms that New York State provides are not distinctive among the U.S. regulatory jurisdictions. As set forth in Exhibit___(YS-8), which was prepared under my supervision and direction, many of the mechanisms put in place by the Commission are currently in use in other jurisdictions where utilities, on average, are granted significantly higher ROEs.

Q. Can investors readily measure the degree to which a regulatory regime fairly rewards shareholders?

A. In New York State, yes. The Commission has a clear and long-standing policy of setting returns relative to the historic tangible book value of the investors' shares.

Information about returns on share book values for publicly traded U.S. companies is readily available to investors from public sources as a basis for comparison.

Q. How does Con Edison compare to this universe of alternative investments?

A. Con Edison does not fare well in the comparison. When looking at the five-year historical average return on book equity, the Company had a return that would have placed it near the bottom third of S&P companies with meaningful available data. The return for the average S&P company was 26.2%. The comparable return on book equity for Con Edison was 8.5%.

Q. Have you prepared an exhibit to show this?

A. Yes, please refer to Exhibit___(YS-9), which was prepared under my supervision and direction.

Q. Are companies typically valued by investors at their book value?

A. No. They are valued by investors based on their future business prospects. Exhibit___(YS-10), which was prepared under my supervision and direction, shows the five-year average market to book ratios for those S&P companies with positive book equity. Con Edison's market to book ratio is in the bottom

13% of companies for this important measure of investor perceptions and expectations.

Q. How would an investor assess the second factor: the likelihood of a utility actually earning the authorized equity return?

A. The investor would analyze the adjustments made to actual costs that are allowed to be recovered, imputed productivity that may or may not be achieved, and any other revenue or expense adjustments. To the extent that such adjustments are made to real costs, the authorized rate of return is unlikely to be achieved.

Q. Have investors indicated concern with the Company's ability to earn its authorized ROE?

A. Yes. Under the current rate plans, investors have questioned whether the Company will be able earn its authorized ROE on its electric and gas operations and specifically noted the potential exposure on increased levels of aged and uncollectible accounts receivable.

Q. Has the Company earned its authorized ROE under its current rate plans?

A. No. The Company files its earned ROE annually with the Commission using the earning sharing calculation set

forth in its rate plans. As shown in Exhibit__(YS-11), the Company's filed earned ROE has been below the authorized ROE in all but three of the past ten years.

Q. How would an investor assess the third factor: the symmetry of potential returns?

A. The Company's range of potential returns is not symmetrical relative to the authorized rate of return because potential negative revenue adjustments are far larger than potential positive incentives and because true-ups of costs often go only in one direction. Similarly, the Legislature and the Commission have imposed costs on utilities, such as the statute (NYS Public Service Law §73) and Commission order requiring utilities to compensate customers after widespread prolonged outages, that impose additional financial burdens on the Company. These aspects of New York State rate orders produce asymmetry in expected returns, which a rational potential equity investor would judge as ultimately reducing the investor's expected return. Little evidence exists that these burdens are common in other jurisdictions in the Country, where the peers (*i.e.*, proxy companies) that are the basis for the

Commission's Discounted Cash Flow ("DCF") and Capital Asset Pricing Model ("CAPM") results operate.

Q. How would an investor assess the fourth factor: the restrictions the regulator places on the scope of the business?

A. The adverse impact of the last factor is less quantifiable because it reflects opportunities foreclosed to the Company and thus to the investor. As an example, restrictions on investments in generation in New York State reduce the value of the Company to its owners, albeit in ways that are difficult to quantify.

Q. Have the shortcomings in the treatment of the Company been reflected in equity analysts' views of CEI?

A. Yes. As of September 15, 2024, CEI ranked as 497 of the 503 stock issuances in the S&P 500 in terms of analyst buy/sell rankings. *See* Exhibit___(YS-12), which was prepared under my supervision and direction.

Q. Please address the business risk that the Company will be facing during the Rate Year and beyond.

A. The Company will be facing an environment of increased business risk in the Rate Year and beyond. As

discussed above, the Company continues to face the challenges associated with complying the CLCPA and the clean energy transition. In addition, geopolitical uncertainty, particularly as manifested in the conflicts in the Middle East, Ukraine, and Africa, continues apace. The second Trump administration has threatened to impose significant new tariffs which if implemented will fuel inflation and adversely affect the already perilous global supply chain framework, as well as increases the Company's costs beyond what is forecasted in these cases. Similarly, the second Trump administration's threatened restrictive immigration policy may raise labor costs thus further fueling inflation and raising the Company's costs. All of these developments will serve to enhance the business risk the Company will encounter during the Rate Year and beyond.

IV. CAPITALIZATION AND COST OF CAPITAL

Q. What capital structure should be used in the context of these rate case proceedings?

A. To meet investor expectations and assuage investor concerns about the Company, a capital structure with a 50.00% equity ratio should be used.

Q. Please describe why this equity ratio is appropriate.

A. A capital structure with a 50.00% equity ratio (as compared with the 48.00% equity ratio in the Company's current electric and gas rate plans) is appropriate and necessary to support the Company's cash flow profile.

Q. Have events in recent years negatively impacted the Company's cash flow profile?

A. Yes. The Company's cash flow profile has seen negative impacts from both the COVID-19 pandemic and abnormally large storms like Tropical Storm Isaias.

Q. What impact did the COVID-19 pandemic have on the Company's cash flows?

A. In March 2020, the Company began suspending service disconnections, certain collection notices, final bill collection agency activity, new late payment charges and certain other fees for all customers. The Company also began providing payment extensions for all customers that were scheduled to be disconnected prior to the start of the COVID-19 pandemic. In June 2020, New York State enacted a law prohibiting New York State utilities,

including Con Edison, from disconnecting residential customers during the first COVID-19 pandemic state of emergency. Subsequent legislation extended protections to certain small commercial customers during the first state of emergency. The Company forwent an estimated $124 million of revenue in late payment charges and other fees and increased its uncollectible account reserve by $198 million due to these actions. Beyond this period, the Company extended the moratorium on residential collections activity into 2022 and continued forbearance on low-income customer collection activity through September 2022.

Q. Has the Company been able to mitigate this increase in aged accounts receivables?

A. Yes. The Phase I and Phase II Electric and Gas Relief Programs addressed a portion of the accumulated arrears and associated carrying charges.

Q. Have aged accounts receivable balances returned to pre-pandemic levels?

A. No. As shown in Exhibit__(YS-13), while the Phase I and Phase II Electric and Gas Relief Programs Aged accounts receivables contributed to decreases in August 2022 and February 2023, the aged accounts receivables have

continued to increase steadily to an all-time high of $1.5 billion in September 2024. This increase has produced significant negative pressure on the Company's cash flow profile.

Q. You have discussed above some of the events that have negatively impacted the Company's cash flows. Why are strong cash flows important?

A. Cash flow is a critical component of the quantitative side of the credit analysis used in determining the Company's credit ratings. The three main agencies (Moody's, S&P and Fitch) all use a cash flow metric (Cash from Operations Pre-Working Capital, Funds from Operations to Debt and Funds from Operations Leverage, respectively) as a primary indicator supporting the credit rating of the Company.

Q. Please describe the importance of credit ratings to the Company's customers.

A. Credit ratings can directly affect the cost of capital, with lower credit ratings increasing the cost of capital, which will ultimately be borne by customers.

Q. Have any of the ratings agencies commented on the Company's cash flow situation?

A. Yes. S&P noted in a March 13, 2024, report (*see* Exhibit__(YS-14)) that one of the key risks for the Company was a forecast of negative discretionary cash flows. Fitch, in a September 4, 2024, report (*see* Exhibit__(YS-15)), forecasted that the Company's funds from Operations leverage ratio would average 4.7x over the forecast period assuming constructive future rate case outcomes. This is close to the 5.0x level which is listed as a potential downgrade trigger.

Q. Has there been any other independent analysis that has evaluated the constructive approach of regulatory agencies around the Country?

A. Yes. In July 2024, UBS published a global research report (*see* Exhibit__(YS-16)) titled "North American Power and Utilities Updating Valuation and Regulatory Rankings." In this report, UBS ranks the various North American regulatory jurisdictions based on six criteria: (1) whether commissioners are appointed or elected; (2) allowed return spread history; (3) mechanisms that reduce regulatory lag; (4) rates and customer levels compared to region; (5) tendency to settle versus litigate rate cases; and (6) a subjective investor friendliness factor.

Q. How did New York State rank in UBS' evaluation?

A. New York State's regulatory jurisdiction ranked in the lowest, or Tier 5, which represents a decline from the Tier 4 level in October 2023.

Q. Did UBS rank CEI against its regulated utility peers?

A. Yes. In the same report, UBS ranked CEI in the last quartile and last out of the 23 companies evaluated based on UBS' proprietary ranking of regulatory jurisdictions.

Q. What is the significance of the Company ratings and New York State regulatory jurisdiction rankings by fixed income and equity analysts?

A. The rankings provide independent confirmation that New York State has a challenging regulatory environment relative to the rest of the Country. A less constructive regulatory environment imposes additional costs for both customers and shareholders. Downgrades of the Company by rating agencies increase the rates at which the Company can borrow debt. In addition, any discount applied by investors to the Company's equity valuation to account for New York State's regulatory environment increases the Company's cost of equity. The Company will be required to access both the debt and equity markets in the coming years to maintain the Company's infrastructure, enhance storm resilience, and implement the State's clean energy

agenda. The inability to access the capital markets in an efficient and cost-effective manner because of New York State's regulatory environment will negatively impact customers by unnecessarily driving up their costs.

Q. Why would a capital structure with a 50.00% equity ratio be reasonable?

A. An equity ratio of 50.00% would bring New York State closer to, but still below, the national average. The chart included in Exhibit __ (YS-17) shows the median equity ratio for the rest of the Country over the last five years, as compared with a median equity ratio in New York State.

Q. How would a 50.00% equity ratio potentially impact the Company's credit profile?

A. A 50.00% equity ratio would be an important signal to credit rating agencies of the credit supportiveness of the New York State regulators. The rating agencies' assessment of utilities' regulatory framework is an important component of their rating methodology. For example, Moody's applies a 25% weighting to regulatory framework in its rating methodology. In addition, a higher equity ratio will result in stronger credit metrics for the Company. As noted earlier, Moody's is

most focused on the Company's Cash Flow from Operations Before Working Capital ("CFO pre-WC") to total debt ratio, listing "CFO pre-WC to debt at or below 17%" as one factor that could lead to an additional downgrade of the Company's credit rating.

Q. Does Moody's indicate a CFO pre-WC to total debt level that could lead to an upgrade?

A. Yes. Moody's states in the report that a CFO pre-WC to total debt level that is sustainably above 20% could lead to an upgrade back to a rating of Baa1.

Q. How would a 50.00% allowed equity ratio impact the Company's credit ratings in the near-term?

A. A 50.00% allowed equity ratio can safeguard the Company's ratings by providing additional needed cash flow and by sending a positive signal to the rating agencies that the Commission is willing to support the credit of the Company.

Q. How would a 50.00% allowed equity ratio affect the Company's credit ratings in the long-term?

A. Over time, an increase of the allowed equity ratio to 50.00% will provide continued improvement in cash flows and related credit metrics.

Q. Are you requesting that the capital structure, upon which the revenue requirements are calculated in the Company's electric and gas base rate filings, use an equity ratio of 50.00%?

A. No. For purposes of calculating the revenue requirements in this rate filing, the Company is proposing to use a 48.00% common stock equity component. The Company is proposing an equity component lower than what it believes is reasonable in order to mitigate customer bill impacts and to minimize the contested issues in this proceeding and facilitate reaching a multi-year rate plan through settlement. The remaining proposed capitalization ratios are a 0.92% customer deposits ratio and a 51.08% debt ratio.

Q. Is the Company waiving its rights to a reasonable common stock equity ratio?

A. No, it is not. The requested common stock equity component is lower than the level the Company believes is reasonable.

Q. Has the Company prepared a required rate of return exhibit?

A. Yes. The document entitled "CONSOLIDATED EDISON COMPANY OF NEW YORK UTILITIES, INC. -- RATE OF RETURN REQUIRED

FOR THE RATE YEAR -- THIRTEEN MONTH AVERAGE ENDING DECEMBER 31, 2026," is set forth as Exhibit__ (AP-5, Schedule 2).

Q. Please describe any projected changes in Con Edison's long-term debt and how such changes have been incorporated into the required rate of return for the Rate Year.

A. Exhibit__ (AP-5, Schedule 6), presents any projected long-term debt issuance for the Rate Year.

Q. Please describe how you developed the cost of long-term debt.

A. Exhibit__ (AP-5, Schedules 5 and 6), presents the detailed calculation of the cost of the long-term debt on September 30, 2024 and for the average of the thirteen months ending December 31, 2026, respectively. These schedules detail each issuance of long-term debt outstanding and calculate an effective annual cost for each issuance of long-term debt, taking into consideration the original net proceeds to the Company and annual interest costs. The sum of the effective annual cost for all issuances is divided by the gross amount of debt outstanding to derive the weighted average cost of long-term debt.

Q. Did you provide the interest rate forecasts used as a basis for the cost of debt in this exhibit?

A. Yes.

Q. What method have you used to develop the interest rate forecasts?

A. The Company has used forecasts of Treasury bond rates from the publication *Blue Chip Financial Forecasts*, plus a spread to Treasury bond rates based on indicative quotes from financial institutions. The *Blue Chip Financial Forecasts* consist of the consensus forecast of approximately 45 economists. This approach provides more reasonable forecast results than simply using the most current Treasury bond rates. At the update stage of these proceedings, the Company will revise Exhibit__(AP-5), Schedule 6, to reflect the most recent data available, as well as any new or refinanced debt that the Company may have issued by that time.

Q. Do you believe that current Treasury rates provide the best estimate of future long-term interest rates?

A. No. The position of Staff in Con Edison's 2022 electric and gas base rate proceedings that current Treasury rates are the best estimate of future long-term interest rates

relies on academic papers that the Company believes are not relevant.

Q. Can you explain the flaw in Staff's position?

A. Yes. In the direct testimony of the Staff Finance Panel (p. 49) submitted in Con Edison's most recent steam base rate case (*i.e.*, Case 22-S-0659), Staff states that:

> …movements in long-term interest rates are difficult to forecast. Such forecasts are not only poor predictors of the magnitude of the expected change in interest rates, they are not even reliable with respect to the direction of the change. Instead, the best estimate of future long-term interest rates is no-change; in other words, the current rates of these debt instruments.

Q. Did Staff offer any evidence to support their position?

A. Yes. Staff referenced several studies including, "On Forecasting Long-Term Interest Rates: Is the Success of the No-Change Prediction Surprising?" by Dr. James E. Pesando in the Journal of Finance, September 1980; "Just How Bad Are Economists at Predicting Interest Rates? (And What are the Implications for Investors?)" by Kevin

Stephenson in the Journal of Investing, Summer 1997; "Professional Forecasts of Interest Rates: Evidence from the Wall Street Journal's Panel of Economists" by Karlyn Mitchell and Douglas K. Pierce in the Journal of Macroeconomics, December 2007; and "Predicting Interest Rates: A Comparison of Professional and Market-Based Forecasts" by Michael T. Belongia and published by the Federal Reserve Bank of St. Louis in March 1987.

The Company believes that these papers are not relevant to the discussion of forecasted interest rates in these proceedings. The collected analyses all predate the 2008 financial crisis and ignore subsequent improvements in forecasting accuracy that have occurred since that time. An article called, "Interest Rate Forecasts in Conventional and Unconventional Monetary Policy Periods" by Nelson Oliver and Mehmet Pasaogullari published by the Federal Reserve Bank of Cleveland in May 2015 (Exhibit__(YS-18)) states:

> Monetary policy has been conducted with a different set of tools since the financial crisis, and we investigate whether the change has affected the accuracy of professionals' interest-rate forecasts.

We analyze the accuracy of the Federal Funds rate and nominal Treasury yield forecasts in the periods before and after the introduction of new policy tools and find that, in general, forecast accuracy improved in the latter policy period.

The source of forecasts for the analysis used in this publication is the same *Blue Chip Financial Forecasts* used by the Company.

Q. What is a better method than using current rates to forecast rates?

A. A forward-looking measure of rates is a better forecasting method. Examples of forward-looking measures are the forward rate curve or a consensus of economists' estimates contained in the *Blue Chip Financial Forecasts*. The forward rate is the rate you can lock in today to borrow in the future and can be interpreted as the market's consensus forecast of interest rates. A consensus forecast of Treasury rates, such as that produced by *Blue Chip Financial Forecasts*, provides a more reasonable estimate rather than simply relying on current rates.

Q. What stand-alone capital structure for the Company results from the calculations that you described?

A. Exhibit__(AP-5, Schedule 2), shows the forecasted capital structure for the thirteen months ending December 31, 2026 of 51.48% long-term debt, 0.93% of customer deposits, and 47.59% common stock equity. The Company has no preferred stock outstanding.

Q. Does Exhibit__(AP-5) also show the forecasted capital structure, based on a thirteen-month average, for the twelve-months ending December 31, 2027 and December 31, 2028, respectively?

A. Yes. Schedules 3 and 4 of Exhibit__(AP-5) show the capital structure for those periods. These schedules show that the debt ratio would decrease slightly to 51.20% of the Company's capital structure in 2027 and decrease to 50.34% in 2028. These schedules also show that the customer deposit ratio would decrease modestly to 0.91% in 2027 and increase modestly to 0.92% in 2028. The equity ratio would increase to 47.88% in 2027 and further increase to 48.74% in 2028.

Q. What ROE is the Company proposing be used for purposes of developing a revenue requirement in these filings?

A. The Company proposes an ROE of 10.10%, which is below the recommendation of the Company's ROE witness, Joshua Nowak, in these proceedings.

Q. What overall rate of return is the Company proposing in these proceedings?

A. Using the Company's proposed capital structure, cost of long-term debt and ROE, the overall rate of return is 7.32% as shown on Exhibit__(AP-5), Schedule 2.

Q. Is the Company presently subject to any financial protection or "ring-fencing" provisions adopted by the Commission?

A. Yes. The Commission continued a number of financial protections for the Company's electric and gas businesses when it adopted the Joint Proposal in the Company's last base rate proceedings, Cases 22-E-0064 and 22-G-0065. As stated in that Joint Proposal, "The first metric will calculate whether investments in CEI's non-utility businesses exceed 15% of CEI's total consolidated operations as measured by revenues, assets, or cash flow. The second metric will calculate if the ratio of holding company debt (which will measure only direct debt obligations of CEI and exclude non-recourse financing by non-utility entities) as a percentage of total

consolidated debt exceeds 20%. The Company will notify the Commission no later than 60 days after the end of a semi-annual period if any of the financial protection metric thresholds are exceeded. Within 60 days of such a notification, the Company will submit a filing providing a ring-fencing plan to insulate the Company, or, in the alternative, demonstrating why additional ring-fencing measures are not necessary at that time."

Q. Does the Company believe that the financial protections should remain in effect in their current form?

A. No. In the recent Joint Proposal for CECONY Case 22-S-0659, the Staff Finance Panel agreed with Con Edison that these financial protection measures were no longer necessary and stated: "Therefore, we no longer recommend continuing the ring-fencing triggers in this proceeding at this time." The Company recommends that the Commission adopt a similar position in these proceedings.

V. CONCLUSION

Q. Please summarize your testimony regarding the financial challenges facing the Company.

A. My testimony concerns the financial challenges and the need to maintain access to financial markets at a reasonable cost. Both equity and debt investors

perceive that the New York State regulatory environment is a difficult one in which to operate. Such a perception, if it continues, will make the financing of needed expenditures more expensive in normal times and less certain in times of financial crises.

To avoid this outcome and to re-establish debt and equity investors' trust in the fairness of New York State regulation, the Company needs a fair and equitable rate of return, competitive with those available elsewhere in the market, and a reasonable chance to earn that return. To achieve this outcome, the Commission should grant the rate of return and capital structure requested by the Company.

Q. Does that conclude your direct testimony?

A. Yes, it does.